UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION

Interconnection of Large Loads to the Interstate Transmission System	))))	Docket No. RM26-4-000

COMMENTS OF THE DATA CENTER COALITION

On October 27, 2025, the Federal Energy Regulatory Commission (Commission or FERC) issued a Notice Inviting Comments in this docket following a directive from the Secretary of Energy pursuant to Section 403 of the Department of Energy Organization Act. The Data Center Coalition (DCC) respectfully submits the following comments in response to the Commission's Advanced Notice of Proposed Rulemaking (ANOPR) concerning the timely and orderly interconnection of large loads. We commend DOE and FERC for recognizing that interconnection policy is now directly tied to America's energy security, economic leadership, and technological competitiveness.

I. Communications

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II. About DCC

The Data Center Coalition (DCC) is the membership association for the U.S. data center industry, representing leading data center owners and operators as well as companies leasing large amounts of data center capacity.[1] DCC's member companies provide the digital infrastructure that supports the applications, capabilities, and essential services that enable our modern economy. Our members are making significant, multi-billion dollar investments in America's infrastructure that benefit and provide employment opportunities to states and local communities. These investments support hundreds of thousands of quality jobs across the nation and contribute billions of dollars in local, state, and federal tax revenue, providing consistent funding for important community priorities like public safety, education, and transportation. Between 2017 and 2023, the data center industry's total contribution to U.S. GDP was $3.5 trillion. In 2023, the U.S. data center industry directly employed more than 600,000 workers and supported 4.7 million jobs in total. The sector generated $404 billion in total labor income and contributed $162.7 billion in federal, state, and local taxes in 2023. Notably, each direct data center job sustains more than six additional jobs elsewhere in the economy, underscoring the sector's broad multiplier effect.[2]

III. Introduction

The United States is engaged in an increasingly consequential global competition in artificial intelligence, digital infrastructure, high-performance computing, semiconductor fabrication, and advanced manufacturing. The geopolitical, economic, and national security outcomes of the coming decades will be shaped by which countries can power these capabilities

[1] The Data Center Coalition's website address is www.datacentercoalition.org. Public testimony and written comments submitted by DCC do not necessarily reflect the views of each individual DCC member.

[2] PwC, *Economic Contributions of Data Centers in the United States*, February 2025, *available at* https://tinyurl.com/PwCDataCenterReport.

reliably, affordably, at scale, and in a timely manner.

The ability to interconnect large loads, including data centers, has become a strategic national advantage. If the United States cannot energize data centers, semiconductor fabrication facilities, advanced manufacturing, and high-density computing in a timely and predictable manner, it risks falling behind—not because of a lack of innovation, but because of infrastructure constraints that prevent it from being deployed.

This proceeding is fundamentally about ensuring that the nation maintains the energy foundation required to lead in AI, strengthen domestic manufacturing, and compete globally without ceding ground to strategic rivals. Timely interconnection of new load, supported by timely interconnection of new generation, is no longer a matter of efficiency; it is a matter of national strength. The Commission's leadership on this issue is both timely and necessary. The rules governing transmission access must be predictable, nondiscriminatory, and aligned with the technological and economic realities now facing the nation. DCC supports DOE's and FERC's efforts to modernize this framework in a manner that preserves reliability, respects jurisdictional boundaries, and positions the United States to continue leading the world in innovation, investment, and economic growth.

IV. Support for FERC's Attention and a Clear, Workable Framework

DCC appreciates DOE's and the Commission's leadership in initiating an examination of the framework governing the interconnection of large loads. The current reality is clear: across the country, interconnection timelines for large loads have lengthened, processes differ substantially across utilities and states, and the treatment of hybrid facilities that combine load and generation remains inconsistent and, in many cases, underdeveloped. These conditions create uncertainty, delay investment, and complicate grid planning at a time when the nation can least

afford inefficiency.

The Commission's attention to this challenge is both timely and appropriate. A more transparent, predictable, and uniform approach to large load interconnections, particularly at the transmission level, would provide substantial benefits in terms of coordination, system reliability, and economic development. This is especially true where new load and new generation seek to interconnect contemporaneously or as part of a single, integrated project.

As the Commission evaluates whether and how to exercise its authority, DCC respectfully urges a measured approach that recognizes the historic balance of federal and state roles embedded in the Federal Power Act. States remain indispensable partners in regulating retail service, overseeing siting and permitting, and supporting local and regional economic priorities. Their engagement and support will be critical to the success of any final framework.

We support the Commission's exploration of legally durable potential pathways that could provide a clear, nondiscriminatory, and workable structure for large load interconnections that complements state authority, preserves space for regional innovation, and gives customers and utilities more certainty and efficiency.

The status quo is not serving the nation's economic or reliability needs. DCC welcomes the Commission's effort to consider solutions that are carefully designed, responsibly implemented, and grounded in the legal, operational, and jurisdictional realities that define the modern electric grid.

V. Transition Provisions: Regulatory Certainty as a Prerequisite to Reform

Reforms intended to improve timeliness and predictability should not inadvertently disrupt projects that have already made significant financial, contractual, and engineering commitments. DCC therefore strongly recommends clear and legally enforceable transition

provisions, including:

1. **Respect for Existing Agreements**
   Projects with fully executed binding electricity service agreements, tariffs, construction service agreements, and/or transmission security agreements (or similar such structures) must be allowed to continue under their existing terms. These arrangements reflect bargained-for rights and obligations and should not be retroactively disturbed.

2. **Protection for Projects in Advanced Stages**
   Projects that have completed feasibility or system impact studies should be permitted to complete their studies under the framework in place at the time they entered the study process. Forcing restudy or process migration could create material delays, cost increases, and uncertainty for utilities and customers alike.

3. **Transparent and Time-Bound Transition Rules**
   As any new framework is implemented, FERC should establish clear, time-bound transition rules. Applicants should know with certainty which process applies based on the date of their interconnection request or the stage they have reached.

This proceeding should accelerate—not pause—critical load and generation projects already advancing under existing frameworks. DCC believes these transition protections are critical to maintaining industry confidence and ensuring that reforms deliver additional speed and clarity without disrupting progress already underway.

VI. Hybrid Load-Plus-Generation Facilities

DCC supports DOE's emphasis on hybrid facilities. The ability to study new load and new generation together, when physically proximate and electrically significant, presents meaningful system benefits. Joint study of paired facilities can reduce the need for network upgrades, shorten energization timelines, improve resource adequacy, minimize congestion and curtailment, and expand siting options. These efficiencies are increasingly relevant as load and supply additions occur on more compressed timelines and in more diverse configurations.

At present, however, the treatment of hybrid load-plus-generation facilities remains highly inconsistent across regions and transmission providers. This variation introduces

uncertainty, delays investment, and undermines the potential reliability and cost benefits that these paired configurations can provide. A clear, Commission-directed framework could help resolve this bottleneck by establishing consistent principles for studying hybrid facilities, while still allowing for regional variation and respecting state authority. The Commission already has a complete record on co-location issues in PJM. With that proceeding fully briefed and ready for decision, the Commission can deliver immediate clarity by acting in that docket.[3]

To be clear, such a framework should not mandate hybrid development or require load to be paired with on-site generation. Rather, it should recognize hybrid configurations as a valid and efficient option within the interconnection process, and ensure that customers pursuing them are able to do so transparently and without procedural disadvantage.

VII. Stand-Alone Load and Market-Based Procurement

Although hybrid configurations offer meaningful benefits in many circumstances, it is essential that the interconnection process continue to support stand-alone load as a viable and efficient option. Large customers must retain the ability to interconnect load without being required to co-locate new generation or modify the manner in which they procure energy. Commercial flexibility has long been a hallmark of the competitive wholesale markets that the Commission has fostered and overseen for decades.

Customers may serve their load through a variety of lawful arrangements, including bilateral power purchase agreements, participation in organized wholesale markets, utility default service, or in some instances, a portfolio that blends these options. The Commission has

[3] In its February 2025 show cause order, the Commission consolidated the technical conference in AD24-11-000 and the Constellation complaint in EL25-20-000, directing PJM and the Transmission Owners to demonstrate whether the Tariff remains just and reasonable without clear co-location provisions. *PJM Interconnection, L.L.C.*, 190 FERC ¶ 61,115 (2025). The Data Center Coalition submitted detailed comments in that proceeding. *Comments of the Data Center Coalition*, Docket Nos. EL25-49-000, EL25-20-000, AD24-11-000 (Apr. 23, 2025).

repeatedly recognized that the organized markets exist to harness competition, enable innovation, and expand resource diversity, all to the benefit of consumers. In RTO regions, competitive procurement is not merely a financial preference; it is the mechanism through which new load can be served by the most efficient mix of resources across the entire RTO footprint.

An interconnection framework that preserves market access is therefore essential. Not all new load can—or should—be expected to build generation behind the meter or at the point of interconnection. In many cases, it is more economically efficient and system-optimal for load to rely on the regional market, especially in areas with diverse supply portfolios, well-developed transmission, or liquidity in capacity, energy, and ancillary service markets. Market-based procurement allows the full fleet of competitive suppliers—not just those co-located behind the fence—to compete to serve new demand, thereby maintaining price discipline, supporting entry of new resources, and ensuring that the most cost-effective solutions rise to the top.

Timely, predictable, and nondiscriminatory access to interconnection service for stand-alone load is therefore critical, not only to the customers seeking service, but to the continued functioning of the market itself. If customers are forced into specific commercial structures, the result would be less competition, reduced commercial flexibilities, and slower demand growth at a moment when the grid requires both investment and innovation.

A durable framework must therefore allow load to interconnect efficiently, whether or not that load is paired with on-site supply, and regardless of the commercial structure through which the customer procures energy. This is fully consistent with the Commission's longstanding commitment to open access, competition, and customer choice, and with the principle that load should be able to rely on the same competitive markets whose design the Commission has spent more than two decades refining.

VIII. Interconnection Reform Is Fundamentally an Infrastructure Challenge

The Commission's responsibility to ensure reliability under Section 215 of the Federal Power Act cannot be separated from the physical limits of the transmission system. The core challenge facing the electric system today is not merely procedural delay in generator interconnection studies, but the lack of sufficient transmission infrastructure and forward planning to accommodate new load and new generation in a timely manner.[4]

Generator interconnection queues have grown into multi-year bottlenecks not because customers are unwilling to invest, nor because generation is unavailable, but because the transmission system lacks sufficient unencumbered headroom to integrate these resources. In many cases, projects cannot proceed because needed network upgrades were not planned, permitted, or built in advance. The interconnection backlog is thus a symptom of a deeper and more structural issue: the grid was not expanded or modernized at the pace that changing system needs require. The lack of supply to meet today's demand is not a failure of market interest—rather a failure of infrastructure.

The Commission has long recognized that transmission access, transmission planning, and resource adequacy are inseparable. Order No. 888 opened the grid to competition, establishing nondiscriminatory access as a foundational principle.[5] Order No. 2000 advanced that framework by authorizing and encouraging regional transmission organizations to facilitate regional planning and more efficient use of transmission assets.[6] Order No. 1920/1920-A now

[4] FPA § 215.
[5] Order No. 888, *Promoting Wholesale Competition Through Open Access Non-discriminatory Transmission Services by Public Utilities; Recovery of Stranded Costs by Public Utilities and Transmitting Utilities*, 75 F.E.R.C. ¶ 61,080 (1996).
[6] Order No. 2000, *Regional Transmission Organizations*, 89 F.E.R.C. ¶ 61,285 (1999).

requires long-term, forward-looking transmission planning to anticipate future system needs, including major load additions.[7]

Yet the current system was largely built to accommodate incremental changes in peak demand, not the step-change growth driven by data centers, semiconductor manufacturing, electrified industry, and other nationally-strategic sectors. A planning construct designed for marginal load variation is no longer adequate when load is materializing at utility-scale magnitude and on industrial timelines.

Regional entities including PJM, MISO, ERCOT, and SPP have warned of tightening reserve margins, constrained transfer capability, and increased reliance on emergency actions. These signals are not merely operational warnings. They are evidence that transmission and interconnection infrastructure has not kept pace with economic growth or system reliability needs.[8]

Finally, this challenge extends beyond energy regulation. The ability to energize new load and new generation is now inseparable from broader national objectives focused on rebuilding domestic industrial capacity, strengthening American manufacturing, securing strategic supply chains, and maintaining U.S. leadership in data, artificial intelligence, and next-generation technologies. The current administration has emphasized the need for expanded energy

[7] Order No. 1920, *Building for the Future Through Electric Regional Transmission Planning and Cost Allocation*, 187 FERC ¶ 61,068 (2024); Order No. 1920-A, *Building for the Future Through Electric Regional Transmission Planning and Cost Allocation*, 189 FERC ¶ 61,126 (2024).

[8] *See, e.g.*, North American Electric Reliability Corporation, *2025 Summer Reliability Assessment* 5–8 (May 2025) (identifying multiple areas with declining reserve margins, constrained transfers, and elevated risks of emergency actions). See also Electric Reliability Council of Texas, *2025 Regional Transmission Plan: Economic Study—Stability Interface Limits Update* 3–6 (July 29, 2025) (documenting binding transmission constraints and limited transfer capability across key interfaces). See also Southwest Power Pool, *2025 State of the Grid* 7–12 (Mar. 2025) (highlighting increasing reliance on emergency operating procedures and transmission congestion). See also Midcontinent Independent System Operator, *2024–2025 Regional Resource Assessment* 4–9 (Dec. 2024) (reporting tightening planning reserve margins and reliability risks driven by load growth and transmission constraints).

infrastructure, accelerated private-sector investment, and a modernized electric grid capable of supporting economic growth, technological competitiveness, and U.S. strategic leadership.

To meet those imperatives, interconnection reform must be understood as a core transmission-infrastructure priority—one that modernizes and expands the grid at the scale required, not merely streamlines procedural steps.

IX. Complementary Commission Authorities Should Be Exercised in Parallel

While this rulemaking provides an important forum for considering reforms specific to large load interconnection, the Commission already possesses substantial authority to improve the timeliness and efficiency of load and generator interconnections, ensure nondiscriminatory access, and support the infrastructure necessary to maintain system reliability and economic competitiveness. These tools should be advanced now, in parallel with this proceeding.

First, the Commission should reinforce the need for forward-looking transmission planning that reflects real and foreseeable load growth. Load growth on the scale now materializing cannot be served through reactive planning frameworks. Lagged interconnection times for both generation and load are due to a lack of headroom on the system. It is critical that the Commission focus on the infrastructure challenge through appropriate long-term transmission planning. Further, there is broad agreement that interregional transfer capability increases system resilience and reliability. The Commission has the necessary information to take the next steps to ensure we have prudent amounts of transfer capability.[9] Finally, the

[9] Congress directed the Electric Reliability Organization to determine existing interregional transfer capability and recommend "prudent additions" needed to strengthen reliability. Fiscal Responsibility Act of 2023, Pub. L. No. 118-5, § 322, 137 Stat. 10, 38–40 (2023). Pursuant to that mandate, NERC submitted its *Interregional Transfer Capability Study* to the Commission on November 19, 2024, in Docket No. AD25-4-000. The Commission published a request for public comment on the study in the *Federal Register* on December 27, 2024. Section 322 also requires the Commission, within 12 months after the close of the comment period, to submit a report to Congress with its conclusions and any recommended statutory changes.

Commission should also require the deployment of grid enhancing technologies to unlock existing transmission capacity that is underutilized. Requiring grid enhancing technologies in defined contexts would improve system capacity and accelerate interconnection timelines.[10]

Second, the Commission should continue to strengthen and accelerate generation interconnection reform. The Commission should direct RTOs and transmission providers to adopt automation and AI tools to align the study timelines with the urgency of need.[11] The Commission should also create interconnection pathways for generation and load that are not limited by the absence of existing headroom, including conditional and staged interconnection service. Surplus capacity pathways, and improved study processes under Order No. 2023 can also be expanded and enforced to ensure that new resources are not delayed indefinitely.[12]

Third, the Commission should affirm that load customers may choose to self-build network upgrades, where technically feasible and properly coordinated. Nothing in the Federal Power Act prevents a customer from constructing needed facilities, provided reliability and comparable access are maintained.

Fourth, the Commission should revisit the distinction between Energy Resource Interconnection Service (ERIS) and Network Resource Interconnection Service (NRIS).

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[10] The Commission already has a pending rulemaking proceeding examining the deployment of Dynamic Line Ratings and other grid-enhancing technologies, and should move that proceeding forward. *Implementation of Dynamic Line Ratings, Advance Notice of Proposed Rulemaking*, Docket No. RM24-6-000, 89 Fed. Reg. 57,690 (July 15, 2024).

[11] MISO has demonstrated the potential of automation tools to dramatically accelerate interconnection study timelines. In its recent SUGAR implementation presentation, MISO reported that its manually-performed DPP 2021 Phase 1 South study required 686 days, whereas the same study run through its automated SUGAR platform required approximately 10 days to complete. *Midcontinent Indep. Sys. Operator, Inc., SUGAR Implementation*, Presentation to the Interconnection Process Working Group (Mar. 4, 2025), at 5, https://cdn.misoenergy.org/20250304%20IPWG%20Item%2005%20SUGAR%20Implementation682016.pdf

[12] Order No. 2023, *Improvements to Generator Interconnection Procedures & Agreements*, 184 FERC ¶ 61,054 (2023).

Although these services were designed to offer different pathways to interconnection, ERIS is frequently studied as if it were NRIS, eliminating the efficiency benefits ERIS was intended to provide. ERIS should function as an expedited pathway for energy-only resources that can enhance energy adequacy and help lower energy prices. To that end, the Commission should clarify and enforce meaningful differentiation among ERIS, provisional ERIS, and NRIS, and require a transparent economic screening step to inform developer decisions and reduce study churn.

Taken together, these authorities form a coherent and lawful path forward. They can be exercised immediately, without the need for new legislation or jurisdictional re-examination, and they complement the objectives of this proceeding by addressing the infrastructure, planning, and access barriers that now threaten reliability and economic competitiveness.

X. Conclusion

The Data Center Coalition appreciates the Commission's leadership in examining the interconnection of large loads at a moment when the nation's electric system is undergoing rapid and unprecedented change. The ability to interconnect new load and new generation is no longer a narrow operational matter; it is now central to maintaining reliability, fostering economic growth, strengthening domestic industry, and preserving American leadership in advanced technologies.

To succeed, the Commission's approach must provide clarity, timeliness, and predictability for customers and transmission providers alike. It must also respect the foundational balance of federal and state roles that has long defined the Federal Power Act, while ensuring that the transmission system remains open, competitive, and capable of supporting emerging national priorities.

DCC supports the Commission's exploration of a framework that improves transparency and coordination, enables both hybrid and stand-alone load configurations, and aligns interconnection processes with the physical realities of the grid and the timing needs of modern industry. At the same time, the Commission should continue to advance the complementary tools already within its authority, including forward-looking transmission planning, improved generation interconnection processes, defined interconnection service options, customer self-build opportunities, and the deployment of grid-enhancing technologies.

The stakes are clear—if the United States is to maintain resource adequacy, economic competitiveness, and technological leadership, the grid must be capable of interconnecting both load and supply at the pace required by today's economy. DCC looks forward to working with the Commission, states, utilities, RTOs, and other stakeholders to help develop an approach that meets these challenges while upholding the principles of reliability, nondiscrimination, and open access that remain at the core of federal energy regulation.

Respectfully Submitted,
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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document upon each person designated on the official service list compiled by the Secretary in this proceeding. Dated at Herndon, VA this 21st day of September 2025.

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